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## **\*145 Mirage Studios and Others v Counter-Feat Clothing Company Limited and Another**



**Positive/Neutral Judicial Consideration**

### **Court**

Chancery Division

### **Judgment Date**

30 October 1990

### **Report Citation**

[1991] F.S.R. 145

In the High Court of Justice—Chancery Division

Before: The Vice Chancellor (Sir Nicolas Browne-Wilkinson)

26, 29 and 30 October 1990

*Passing off—Copyright infringement—Character merchandising—Teenage Mutant Ninja Turtles—Interlocutory injunction—Interlocutory factors evenly balanced—Whether arguable case in passing off—Plaintiffs having no part in the manufacture or marketing of goods—Misrepresentation—Passing off established.*

Teenage Mutant Ninja Turtles (“Turtles”) were fictitious humanoid cartoon characters conceived in the United States by the first plaintiffs who were owners of the copyright in drawings of these characters in the form of cartoon strips. The first plaintiffs did not manufacture or market any good themselves, the major part of their business consisting of creating and marketing cartoons, videos and films of Turtles. Part of their business, however, included the turning to profit of those characters by licensing the reproduction of them on goods sold by third parties and a major part of their business income arose from royalties received from such licensing activities. The second plaintiffs were the first plaintiffs' worldwide licensing agents and the third plaintiffs the licensing agents for the United Kingdom. The contractual requirements with such third parties included provisions as to quality control of the goods to which the reproductions of Turtles were attached. At the time of this application, over 150 licences had been granted in the United Kingdom in respect of various goods. Turtles had had an unprecedented success in the United Kingdom and elsewhere as a character concept among children and teenagers.

The first defendant had made drawings of humanoid turtle characters similar in appearance to those of the plaintiffs, utilising the concept of Turtles rather than actual drawings of Turtles. The second defendant was the moving spirit behind the first defendant. The defendants began to license these drawings to various garment manufacturers for reproduction on T-shirts and jogging clothes. This led to the present application for interlocutory relief based on allegations of copyright infringement and passing off.

The defendants claimed that the plaintiffs did not have an arguable case under either head, asserting that there were no intellectual property rights in either the name or the idea of Turtles.

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Held, granting interlocutory relief,

(1) The balance of convenience was so evenly balanced that it was appropriate to consider the strength of the plaintiffs' case.

*American Cyanamid Co. v. Ethicon Limited [1975] A.C. 396 .*

(2) There was an arguable case in copyright.

(3) As to passing off, the facts of the case fulfilled the minimum constituents proposed by Lord Diplock in the *Advocaat* case.

*Erven Warnink BV v. J.Townend & Sons (Hull) Limited [1980] R.P.C. 31, followed .*

(4) There had been a misrepresentation by the defendants. The evidence in the case showed that a substantial number of the buying public expected and knew that where a famous cartoon or television character was reproduced on goods, that reproduction was the result of a licence granted by the owner of the copyright or owner of other rights in that character. To market goods which the public mistake for the genuine article necessarily involved a misrepresentation to the public that they were genuine.

(5) On the evidence, the belief that the goods were genuine involved the further misrepresentation that they were licensed.

(6) If others were able to reproduce or apparently reproduce Turtles without paying royalties to the plaintiffs, the plaintiffs would lose the royalties. Since the public associated the goods with the creator of the characters, the depreciation of the image by fixing the Turtle picture to inferior goods and inferior materials might seriously reduce the value of the licensing rights. This damage to an important part of the plaintiff's business was therefore plainly foreseeable.

(7) The plaintiffs had no part in manufacturing or marketing goods, their only connection with marketing being the affixing of their characters on the goods under licence. On the evidence however, the public connected Turtles with the plaintiffs and this was sufficient link between the goods being sold and the plaintiffs to found a case in passing off.

*Children's Television Workshop Inc. v. Woolworths (New South Wales) Limited* [1981] R.P.C. 187 and *Fido Dido Inc. v. Venture Stores (Retailers) Pty. Ltd.* 16 I.P.R. 365, followed . *Wombles Limited v. Womble Skips Limited* [1977] R.P.C. 99 ; *Tavener Rutledge Limited v. Trexapalm Limited* [1975] F.S.R. 479 ; *Lyngstad v. Annabas Products Limited* [1975] F.S.R. 488, distinguished .

(8) The law as developed in Australia was sound; there was no reason why a remedy in passing off should be limited to those who market or sell the goods in question themselves. If the public was misled in a relevant way as to a feature or quality of the goods as sold, that was sufficient to found a cause of action in passing off brought by those with whom the public associated that feature or that quality which had been misrepresented.

(9) There was no requirement that the plaintiffs had to prove by evidence that the public in purchasing T-shirts or other clothing \*147 carrying Turtle pictures on them would rely on the misrepresentation, namely that the picture of the Turtles was one licensed by the plaintiffs.

Observed, “I do not find anything in ( *Lyngstad v. Annabas Products Limited* inconsistent with the Australian cases. Again, it was concerned with licensing rights in a name as opposed to licensing rights in what is undoubtedly copyright material. It may be that different factors apply in such a case, though those cases may, given the change in trading habits, require reconsideration on a future occasion if the evidence before the court is different.”

The plaintiffs in this action were Mirage Studios, Surge Licensing Incorporated and Copyright Promotions Limited and W.W. Group (Pugh Berry (Imports)/Embesons). The defendants were Counter-Feat Clothing Company Limited and Justin Smith.

## Representation

Andrew Waugh instructed by Simmons and Simmons appeared for the plaintiffs. Mary Vitoria instructed by Payne Marsh Stilwell (Southampton) appeared for the defendants.

The Vice-Chancellor:

This is a motion for an interlocutory injunction restraining the use of certain cartoon characters on the ground that their reproduction constitutes either a breach of copyright or unlawful passing off. The case is concerned with a group of four cartoon characters, who have become a marketing phenomenon, known as “Teenage Mutant Ninja Turtles,” also known as “Teenage Mutant Hero Turtles.”

The background history is this. In the 1980s a Mr. Kevin Eastman and a Mr. Peter Laird, who are Americans, devised the cartoon characters under the name Teenage Mutant Ninja Turtles. The information sheet which is put out describes them in these terms. The Turtles consist of four characters, named Leonardo, Donatello, Michaelangelo and Raphael, who are

“party loving, muscle-bound crime fighters who have one major weakness, their love for pizza. Zapped by mutagen, our heroes are transformed into mutant life-size crime fighters who combat evil with Ninja fighting techniques taught to them by the friendly guru Rat, splinter. Living in the sewers of New York, the Turtles, known as Ninja Turtles in the United States, have become a major success in the States in terms of popularity and licensing.”

Eastman and Laird are also a partnership known in the United States as “Mirage Studios”: they are the first plaintiffs. They created the original drawings which created for the first time the Ninja Turtles. These were then cartoon strips and the Turtles were eventually incorporated into half hour videos. There is now a feature film based on Ninja Turtles.

In the United States the Ninja Turtles have been an astonishing success. The revenues derived from licensing the use of their names and pictures has produced many hundreds of millions of pounds. They command huge child and teenage viewing figures on video and the film has been a great success. Their success has spread to this country. \*148

In January of this year BBC Television started putting out the videos under licence from the plaintiffs, though with this difference. The word “Ninja” is an abbreviation of “Ninjitsu,” meaning hired assassin. The BBC objected to the violent message involved in that. As a result on the BBC show they were known as Teenage Mutant Hero Turtles. The BBC Television broadcasts commanded huge audiences of four to five million. The Turtles became characters in the cartoon contained in the Daily Mirror, again licensed by the plaintiffs. The feature film was previewed in July of this year and is to go out in November, and it is forecast that that will increase the craze.

The success of the Ninja Turtles has given rise not only to the type of coverage that I have mentioned but also to press coverage. From last year and particularly this year, the arrival of the Ninja Turtles had been forecast and then recorded in the press. To the child and teenage audience they are an exceptionally well-known phenomenon, to those in merchandise licensing they are also extremely well-known, and indeed unprecedented in the scale of their success.

The nature of the beast is a humanoid turtle, usually but not invariably green in colour, heavily muscled according to human muscularity, they have bare, aggressive, old-fashioned weapons; their general demeanour is at once jolly and aggressive. They wear, I imagine derived from the Ninjitsu tradition, coloured masks over their eyes, they have coloured scarves on their elbows and wrists and their knees. Each of the four Ninja Turtle characters has a belt surrounding its midriff with an initial on the buckle for his name—L, D, M or R as the case may be.

Character merchandising is an industry which has grown in sophistication over the comparatively recent past. The owners of the copyright in such cartoon characters as the Mutant Turtles license their use and the use of the name of these fictitious characters and the reproduction of them on merchandise and goods. The return to the owner of the copyright, the creator of the character, is normally in the form of royalty payments. Those rights are extremely valuable in a case where the success of the underlying cartoon, video and television is as great as it has been in the present case; the royalties run into hundreds of millions of dollars.

Following that now very well-known path, Mr. Eastman and Mr. Laird and their partnership, Mirage Studios (the first plaintiffs), appointed the second plaintiffs (Surge Licensing Incorporated, another American corporation) as their worldwide agents to license the exploitation of the Turtles. The third plaintiffs, Copyright Promotions Limited (CPL), an English company, are licensing agents for the United Kingdom. Licences have been granted to the fourth plaintiffs which trades as Pugh Berry (Imports)/Embesons, to use the reproductions of the Turtles on clothing. There are in all some 150 licences which have been granted in this country for the use of the Turtles.

The Turtles first appeared in this country in toys exhibited at Earls Court in January of this year. During the course of the year the *\*149* merchandising side of the business has grown. The plaintiffs and their associates have applied for and have obtained registration of certain trade marks in this country. Given the fact that the television programme has gone out referring to them as Hero Turtles rather than Ninja Turtles, the majority of the applications for registration of trade marks are in the name of Hero Turtles, but there are also some in the name of Ninja Turtles. There is no doubt on the information put before me that both the name Teenage Mutant Ninja Turtles and the name Teenage Mutan Hero Turtles are well-known in this country, despite the use of the word Hero on the television broadcasts.

The licensing system adopted by the plaintiffs involves contractual requirements which ensure the quality of the goods to which the licensed reproduction of the Turtles are attached.

Turning now to the defendants, the first defendant is perhaps unhappily named Counter-Feat Clothing Company Limited. The moving spirit behind it is the second defendant, Mr. Justin Smith. I will refer to Counter-Feat Clothing Company Limited as “CCCL.” CCCL has an authorised and issued capital of 100 shares of £1 each, of which 74 are owned by Mr. Smith. It started trading in May 1989 and, according to Mr. Smith's evidence, it has an anticipated loss on trading of £6,000 down to March of 1990. Its sole employee is Mr. Smith. Mr. Smith describes its business in these terms.

“Until earlier this year CCCL concentrated its efforts on arranging for small domestic clothing manufacturers to be able to manufacture clothing bearing reproductions of copyright representations of well-known characters. The majority of those manufacturers are situated in the Midlands and are owned/operated by members of the English Asian community who for a variety of reasons had not previously obtained such licences for themselves. CCCL sees itself in this role as a licence factor.”

He then explains that he seeks to obtain a licence for the use of the character from the owner of the copyright or the person claiming licensing rights, then makes that licence available to the manufacturer. He says there is very little formal documentation. Because the licence to CCCL from the licence holder normally forbids sub-licensing, CCCL appoints the manufacturers its manufacturing agents. It then, as I understand the evidence, sells the manufactured goods carrying the licence mark on them back to the manufacturer who then sells them on. In no ordinary sense of the word is CCCL or Mr. Smith a manufacturer.

Before coming into contact with the Turtles in the middle of 1989, both Mr. Smith, who has had some years' experience in this side of character merchandising, and CCCL were dealing in other products for which they had acquired licences from the third plaintiff, CPL. It is clear that major disagreements sprang up surrounding those other licensing arrangements. There is mutual blame cast by each side, the one on the other. There are conflicts of evidence as to where the faults lie and it is not for me to decide them. *\*150*

Mr. Smith was told by CPL as early as July 1989 of the approaching Turtle phenomenon, and according to him he asked to be granted the licence to use the Turtles as merchandising inducements. According to his evidence, he heard nothing further about the matter until February 1990 when he was told that the licence in fact had been given to the fourth plaintiff, Pugh Berry, so far as affected clothing. According to him, he was also told that in this country the Turtles were to be known as Heroes and not Ninja Turtles.



Mr. Smith then decided, according to his evidence, that he would seek to merchandise Turtles without infringing the plaintiffs' rights. He said that it was his experience that when there was a general interest, however generated, in a particular type of animal or character, then not only the specific character which had aroused that interest such as Ninja Turtles but also other turtles would have a marketing potential. He therefore set about obtaining designs of other turtles. He gives his account of what he did in these words.

“I therefore contacted Kevin Collins, an artist whom I had previously used, and asked him to produce for CCCL some pictures of turtles that did not look like the Turtles shown on the only example of Mirage Studio's Turtles that I had. I gave him a copy of that example and explained that I wanted upright turtles, without weapons, in sporting rather than militaristic poses, and particularly without bandanas with eye holes, shells across their bellies or belts with initials which seemed to me to be obvious distinguishing features of the Eastman and Laird Turtles. I also told him to embellish his turtles with skateboard pads on knees and elbows, I emphasised that his turtles should not look like Eastman's and Laird's Turtles, and explained that the example that I have provided was to show him what to avoid.”

So far as one can see Mr. Collins was fairly true to his instructions. He produced designs of humanoid turtles. They were humanoid to the extent that they were moving on what would in an ordinary turtle be the hind legs, they were muscular in human terms: there were four of them, but they didn't enjoy the artistic names of the plaintiff's turtles: they were renamed Trevor, Jake, Tony and I think, Totty. They wore coloured headgear in the form of caps, and on occasion bandanas, but not as masks. They had coloured pads on their knees and arms. In one of the designs, on a shop front one can detect the words, “ZZA,” the inference being fairly clear that those letters indicate the end of the word “pizza,” which will be remembered is the one weakness of the Ninja Turtle. They are aggressive, though not carrying weapons, their aggression being directed more to the sporting field than the battlefield. On the three T-shirts that I have in front of me, though not in the designs prepared by Mr. Collins, the words “Ninja Turtle” appear on each. On the designs, on the whole the phrase used was “Hero Turtles,” if they were described otherwise at all. However, the designs produced by Mr. Collins and largely reproduced on the T-shirts that I have seen were not exact copies of the plaintiff's caricature drawings. To the extent that one can tell the difference between one humanoid turtle and another they are not identical. The impact that one has is that what Mr. **\*151** Collins has done is to copy the concept of the Ninja Turtle rather than the actual lines of the drawings themselves. Indeed, there is no question of that having occurred. The result is that one has a drawing of humanoid turtles, usually bearing the words “Ninja Turtles” on it, conveying the idea and concept behind the plaintiffs' Turtles but not in terms of line reproducing it as a copy.

Given the current craze for Ninja Turtles, which I have tried to explain, it is not surprising that the Turtles produced and licensed for marketing on T-shirts by the defendants have caused some confusion. An informal survey conducted by the plaintiffs revealed that out of 20 people shown Mr. Collins' drawing, 11 identified the turtles in question as being those seen on television or in the Daily Mirror cartoon or in other ways related back to the plaintiffs' Turtles. Some of the products licensed by the defendants found their way into C&A Modes. Products licensed by the plaintiffs and products licensed by the defendants are there to be found together. There is evidence that when asked to be shown Teenage Mutant Hero Turtle goods, the enquirer has been shown not only goods carrying the Turtle character under licence from the plaintiff, but also T-shirts carrying the designs of Mr. Collins. In addition the defendants have put out jogging trouser bottoms without any reproduction of the Turtles on them, but marked, "Ninja Turtles." There is further evidence that at the preview of the feature film a number of children there were to be seen wearing products licensed by the defendants rather than those licensed by the plaintiffs.

Having designed his turtle drawings, Mr. Smith's evidence is that he then conducted what was a rather ill-directed if prolonged search at the Patent Office, as a result of which he wrongly satisfied himself that he was free to market as he thought. Amongst other things, in May of this year he applied to register Ninja Turtles as a trade mark—the very name used, and under which the plaintiffs' product had been developed in the United States and is widely known here. He immediately proceeded to grant the first of his licences for his design to manufacturers in this country. It is not clear to me how many licences altogether he had purported to grant, but goods have been manufactured carrying the Collins' designs in the form which I have sought to describe, on T-shirts and on jogging bottoms. Having granted his first licence in May of this year, he consulted solicitors, who advised him that perhaps all was not as easy as he had hoped. On 29 May of this year he received a fax from CPL in indignant terms, complaining about Mr. Smith's association with what they called a "pirating operation." The fax referred to Oak Target, a company with whom Mr. Smith had done business, as saying that Mr. Smith had brought the licence from America and that they were paying a royalty to Mr. Smith. The reply to that was that what Mr. Smith and CCCL was doing was licensing original copyright material commissioned by it, by CCCL, for reproduction upon clothing.

The plaintiffs, having become aware that the defendants' licensed merchandise was coming on the market, then tried to pursue the matter *\*152* through a private investigation organisation, the CIB, who in turn interested the trading standards authorities in the matter. Certain seizures of goods were made by the local authority trading standards officers, but in due course when the defendant put forward his claim to the original copyright, as I understand it, those goods were returned. Enforcement through those lines therefore proved abortive.

On 24 July, a letter before action was sent by the plaintiffs' solicitors, to which there was no satisfactory response. On 10 August the writ and notice of motion claiming interlocutory relief were served. That in outline is the history of the matter.



As this is an application for an interlocutory injunction, I will apply the approach advocated by the House of Lords in the *American Cyanamid* case. The first thing that I therefore have to consider is whether there is an arguable case. The plaintiffs base their case first on infringement of copyright and, secondly, in passing off. I find that there is an arguable case on both those grounds but, for reasons which will emerge, I will come back at the end of the judgment to consider that matter in considerably greater detail.

The second step is to consider whether damages will be an adequate remedy to the plaintiffs if they recover damages at trial. The loss likely to be suffered by the plaintiffs is of two kinds . . . First, they will lose royalties in the sense that goods which would be or might be manufactured under licence from them will go elsewhere and also the amount of royalties that they can seek to get from those who do take licences from them is likely to be reduced since the market will not be an exclusive one. The second type of damage they will suffer will, it is said, be loss of control over the quality of the garments on which reproductions of the Ninja Turtles and related pictures are used. The evidence is (and I think this is uncontroverted) that the value of a name or characters such as these is linked to maintaining the quality of the goods to which it is attached. If the goods go down-market or are poorly made, that rubs off on the value of the copyright in the character and thereby reduces its value. The loss of royalties head of damage, though possibly difficult to quantify, is certainly capable of quantification. The loss of reputation through bad quality products is more difficult. Certainly, I have been shown products which do not indicate that the Turtle characters licensed by the defendants are always being applied to very high class products. It is difficult to know how one would set about at the trial quantifying that.

But, much more important than that, even if damages were to be recovered and quantified, the state of the defendant company, CCCL, is such that it is never going to be in a position to pay any damages; it is, as I have sought to show, a very small company and it has apparently no assets. Worse than that, it is said that it is a one product company dealing currently at least only with the Turtle merchandising. It appears from Mr. Smith's affidavit that he is conducting his business solely through CCCL at the moment. I cannot find that damages would be an *\*153* adequate remedy for the plaintiffs since such damages would appear to me to be irrecoverable from the defendant in any event.

Next, if an injunction were to be granted, would the defendant be adequately compensated under the cross-undertaking in damages which the plaintiffs would have to give to cover the event that the injunction was wrongly granted? The evidence suggests, and I accept, that if an injunction is granted the almost inevitable consequence will be that CCCL will go out of business and possibly be wound up since it would be an end to its only existing business. If that were to occur, and it seems highly probable, it is hard to see how any payment of damages at any stage could be an adequate award to compensate for the winding up of the defendant company. The evidence is that, in any event, the defendants would not have the means necessary to take this case to trial to demonstrate the injunction was wrongly granted. Therefore, it seems to me that damages under the cross-undertaking would not adequately compensate the defendants either.

There is some question where the status quo lies in the present case, it being said to be a sound principle so far as possible to maintain the status quo. But in a rapidly changing commercial scene such as this it is very difficult to see, and indeed, I think, counsel were unable to suggest where exactly the status quo should be found in the present case.

There is a further factor which I must take into account. The defendants say that the plaintiffs have been guilty of delay. Although they knew what the defendants were up to in mid-May the notice of motion was not served until August. I would agree that, if that delay was unexplained, it would be a major factor, especially as the defendants say that during that time they had been lulled into a sense of security and decided to concentrate on their one new Turtle line. However, I do not think that that is a proper reflexion of what occurred in this case. The plaintiffs were seeking to enforce their rights, as they thought them to be, through the trading standards authorities. The defendants were well-aware of that and when that proved to be abortive then no further delay, as far as I can see, occurred. I do not think the defendants were entitled to feel secure when they were in fact being pursued through the trading standards authorities' route.

Those are the specific factors that I am invited to look at in *American Cyanamid*. If I stand back and look at the matter rather more generally, as Miss Vitoria invited me to do, and look at the balance of injustice in the case, one gets the picture that the defendants are a small-time operation which cannot bear the loss flowing from an injunction, whereas the plaintiffs on the other hand are extremely prosperous and wealthy. She suggests that, given the relative damage to be done to the one side and the other, the right course is to allow the defendant company to go on trading and use the royalties that they will earn from their trading to diversify their business: from the royalties they earn on the Turtle line and other lines they will be in a position to fight the case. I feel some difficulty in accepting that. In all cases of small defendants getting close *\*154* to the line in copyright or passing off cases, it could always be said that the defendant is a small operator and the person seeking to enforce his rights normally the big operator. But that cannot in general be determinative of the matter since in cases such as these it is often critical to put an end to the infringement speedily since if that is not done the value of the intellectual property which the plaintiff is seeking to enforce is lost. For example, in the present case the defendant himself puts a life on the craze for Mutant Turtles of only some further six months. I also find the whole suggestion of diversification slightly unrealistic. I can see no real grounds for thinking that if the defendants were allowed to go on they would be in a position both to pay the costs of fighting the action and to pay the damages in full. I asked whether the defendants were prepared to put the royalties into the joint names of solicitors, but the only offer forthcoming from the defendants was to put 20 per cent. of the royalties into joint names.

Putting all these factors together, I really am very unclear where the justice of the case lies on the interlocutory application. On the one side, to grant the injunction will almost certainly close down the defendant company for good, on the other hand not to grant the relief will mean that the plaintiff is without effective redress for an infringement of its rights. In those circumstances, I believe that I am entitled under the *American Cyanamid* decision to look at the strength of the relative cases of the two sides. It seems to me extremely desirable that I should because, for practical purposes,

it seems almost certain that this is the end of the litigation and that what I decide today is in fact going to be determinative of the action.

The defence put forward, if I may say so with great skill by Miss Vitoria on behalf of the defendant, is primarily a legal one. She says that the plaintiffs have not shown even an arguable case, either in copyright or in passing off. In the event, I do not mean to say much about the claim based on copyright. The difficulties surrounding any claim by the plaintiff based in copyright are primarily two. First, there is the rule in copyright that you can have no copyright in a name, and on that basis it is said that Teenage Mutant Ninja Turtles, or Ninja Turtles, are names and not subject to any copyright. The point seems to me not altogether easy to say whether a descriptive invented name is to be categorised as a name or as a description. The second and more fundamental difficulty in copyright is the saying that “there is no copyright in ideas.” For myself, I find it difficult to determine what that phrase means in the present context. As I have said, although there are similarities in the graphic reproduction of the defendants' product to those in the plaintiffs' product, they are mainly reproductions of a concept, of the humanoid turtle of an aggressive nature. But whether that permits a claim in copyright or not seems to me to be a very open question; there is certainly an arguable case in copyright. I would not like to say what the final outcome of any case based in copyright would be. \*155

Turning to passing off, the position is in my judgment different. We are here concerned with what is called character merchandising, and the impact of the law of passing off on character merchandising. The minimum constituent elements in passing off are now normally taken from the speech of Lord Diplock in the *Advocaat* case: *Erven Warnink BV v. J. Townend & Sons (Hull) Limited* [1980] R.P.C. 31 at page 93. There he identifies the five characteristics which must be present in order to create a valid cause of action for passing off as follows.

“(1) A misrepresentation (2) made by a trader in the course of trade, (3) to prospective customers of his or ultimate consumers of goods or services supplied by him, (4) which is calculated to injure the business or goodwill of another trader (in the sense that this is a reasonably foreseeable consequence) and (5) which causes actual damage to the business or goodwill of the trader by whom the action is brought or in a *quia timet* action will probably do so.”

Applying those requirements to the present case, first, has there been a misrepresentation? The critical evidence in this case is that a substantial number of the buying public now expect and know that where a famous cartoon or television character is reproduced on goods, that reproduction is the result of a licence granted by the owner of the copyright or owner of other rights in that character. Mr. Smith, the defendant, accepted that evidence subject to this: he said that was only

true where the reproduced matter was an exact reproduction of the character in the cartoon or television show, whereas in his case the defendants' turtles were different. I cannot accept that. If, as the evidence here shows, the public mistake the defendants' turtles for those which might be called genuine plaintiffs' Turtles, once they have made that mistake they will assume that the product in question has been licensed to use the Turtles on it. That is to say, they will connect what they mistakenly think to be the plaintiffs' Turtles with the plaintiffs. To put on the market goods which the public mistake for the genuine article necessarily involves a misrepresentation to the public that they are genuine. On the evidence in this case, the belief that the goods are genuine involves a further misrepresentation, namely that they are licensed.

The second of Lord Diplock's requirements was that the representation must be made by the trader in the course of his trade. Plainly that is so in the present case since the representation of the defendants' turtles on goods licensed by them must be made by or with the authority of the defendants. Similarly, as to Lord Diplock's third requirement it is self-evident that the representation is made to prospective customers of the defendants because they are being presented for sale to such customers.

The fourth requirement is that the misrepresentation must be calculated to injure the business or goodwill of another trader in the sense that that is a reasonably foreseeable consequence. In my judgment, that is the critical question in the present case. What is the plaintiffs' business or goodwill? Mirage Studios are plainly in business as the creators and *\*156* marketers of cartoons, videos and films of their characters, the Ninja Turtles. But the evidence is quite clear that that is only part of their business: their business also includes the turning to profit of those characters by licensing the reproduction of them on goods sold by other people. A major part of their business income arises from royalties to be received from such licensing enterprise. In relation to the drawings of Ninja Turtles as they appear in cartoons, *etc.*, there is a copyright which can be infringed. If one wishes to take advantage of the Ninja character it is necessary to reproduce the Ninja Turtle and thereby the concept, bizarre and unusual as it is, of the Teenage Mutant Turtle becomes a marketable commodity. It is in that business that the plaintiffs are engaged.

That dual nature of the plaintiffs' business (namely both the creation and exploitation of the cartoons and films themselves and the licensing of the right to use those creations) is in my judgment important. As I have said, if others are able to reproduce or apparently reproduce the Turtles without paying licence royalties to the plaintiffs, they will lose the royalties. Since the public associates the goods with the creator of the characters, the depreciation of the image by fixing the Turtle picture to inferior goods and inferior materials may seriously reduce the value of the licensing right. This damage to an important part of the plaintiffs' business is therefore plainly foreseeable.

The fifth of Lord Diplock's requirements is that that foreseen damage actually occurs, or will probably do so. Again, in my judgement that is manifestly clear in the present case.

Therefore, on that analysis, the five essential elements to a passing off action as laid down by Lord Diplock are present. However, he gives a warning that those are minimum requirements; it does not follow that if those requirements are satisfied, there is necessarily a claim in passing off. This is a case where that is particularly true. In the ordinary case, a passing off action applies to goods which have been manufactured or marketed by the plaintiff. Here the plaintiffs have no part in either manufacturing or marketing the goods; they are neither makers nor sellers. The goods, the T-shirts, the jogging bottoms and so on are manufactured by others. The plaintiffs' only connection with the marketing of those goods is by the affixing of their characters, the Turtles, on to the merchandise of others. But, crucially, the evidence shows that the public is aware that the Turtle characters would not normally appear without the licence of the plaintiffs, *i.e.* they connect the Turtles with the plaintiffs. The question is whether that link between the goods being sold and the plaintiffs is sufficient to found a case in passing off. In my judgment; it should be.

It has been held to be a sufficient link in Australia. In *Children's Television Workshop Inc. v. Woolworths (New South Wales) Limited* [1981] R.P.C. 187 ( *The Muppet case* ) the Chief Justice in Equity of the Supreme Court of New South Wales held that the owners of the copyright and merchandising rights in Australia of the Muppets were \*157 entitled to interlocutory relief against other persons seeking to use Muppet characters in conjunction with the marketing of goods in New South Wales. The evidence there, as it is here, is that the public would know of a link between the appearance of the Muppet characters on goods and the existence of a licence to use those characters granted by the creator of the Muppets. The learned Judge held that by the unlicensed use of Muppet characters on the goods, the defendants were misrepresenting that they had a connection with the owner of the copyright and were licensee of rights in the Muppets.

Similarly, in *Fido Dido Inc. v. Venture Stores (Retailers) Proprietary Limited* 16 I.P.R. 365 , Foster J. in the Federal Court of Australia held that the creator of the character Fido Dido and his licensees in Australia had a cause of action in passing off against somebody seeking to use the character known as Fido Dido there without their licence. Although the injunction was refused on the facts of that case, the learned judge held that it was sufficient that there should be a public awareness that the character, Fido Dido, would have been created and licensed by someone who had a business interest in putting them on the market.

In my judgment, the law as developed in Australia is sound. There is no reason why a remedy in passing off should be limited to those who market or sell the goods themselves. If the public is misled in a relevant way as to a feature or quality of the goods as sold, that is sufficient to found a cause of action in passing off brought by those people with whom the public associate that feature or that quality which has been misrepresented. Miss Vitoria submitted that the Australian law, however good in principle, was not the law of this country and reminded me firmly and correctly that my job is to apply the law of this country and not the law of Australia.

She relies in particular on three cases. The first concerned The Wombles: *Wombles Limited v. Womble Skips Limited* [1977] R.P.C. 99 . The Wombles were well-known fictitious characters then highly popular amongst children, who had been the subject of a television series and had



been otherwise commercially exploited. The defendant chose to call his company Womble Skips Limited and printed Wombles on the side of the skips; but apart from that made no use of any representation of The Wombles or any character in it. Walton J. held that the plaintiffs had no arguable case to found a claim for an interlocutory injunction. His ground for the decision was that there was no common field of activity in which the plaintiffs and the defendants were operating. Secondly, he relied on the fact that there was only the taking of the name “Wombles”; there was no other use of any Wombles character or representation of any copyright material. Miss Vitoria accepts that the so-called requirement of law that there should be a common field of activity is now discredited. As to the other ground (namely that there was only the use of the name) the decision may still be good law. There is no copyright in a name. If Wombles be a name, as the judge thought it was, then it is hard to see what business the plaintiffs could have been carrying on in **\*158** licensing the copyright in the name and the name alone. Here, on the contrary, the plaintiffs are carrying on the business of licensing the copyright in the drawings of the Ninja Turtles in which copyright does exist.

The second decision is also by *Walton J.:Tavener Rutledge Limited v. Trexapalm Limited [1975] F.S.R. 179* . It related to lollipops called in one form or another “Kojak Lollies” or “Kojak Pops,” both drawing on the name of the well-known fictitious television character “Kojak,” who is much given to sucking lollies. A claim to interlocutory relief by those entitled to what they said were the rights in the name Kojak failed before Walton J. again on the ground that there was no common field of activity. It is interesting to note that at line 40 on page 280, Walton J. said it was not established on the evidence (and he would have been very surprised if it had been) that the system of character merchandising was known to the man on the street. That is contrary to the position as it exists on the evidence before me where, as I say, the evidence clearly establishes that it now is known to the man in the street. After all, 13 years have passed since the decision in that case. Moreover, it is to be noted in *Tavener Rutledge* that the matter at issue was again simply a name, Kojak, in which under copyright law there can be no copyright. Therefore, the defendants could not have been interfering with the business of the plaintiffs in licensing the copyright in the name. Walton J. made certain remarks about the need to show an awareness in the public that licensors of characters were concerned to uphold the quality of the goods on which the characters appear. At the moment I am afraid I do not understand why that is an essential characteristic of passing off: he made the remark in the context of finding that there was no field of common activity.

The third case is the *Abba* case, a decision of Oliver J., as he then was: *Lynstad v. Annabast Products Limited [1975] F.S.R. 488* . The pop group, Abba, sought to restrain the defendants from applying their name to clothing, pillow slips and T-shirts. Therefore, it was another case in which the name only was being copied. Was there any property in the name alone which could be protected under English law? That was the point relied on by Oliver J. at page 68 when he stressed the fact that there was no copyright in the name. In addition, in that case, there was no evidence of substantial exploitation by Abba of any licensing rights in this country. In those circumstances, the judge was unimpressed by the strength of the plaintiff's case, and refused an interlocutory injunction on the grounds of balance of convenience. I do not find anything in that case inconsistent with the Australian cases. Again, it was concerned with licensing rights in a name as opposed to licensing



rights in what is undoubtedly copyright material. It may be that different factors apply in such a case, though those cases may, given the change in trading habits, require reconsideration on a future occasion if the evidence before the court is different. *\*159*

In my judgment the three English cases do not touch on a case such as the present where the plaintiff clearly has copyright in the drawings and is in business on a large scale in this country in licensing the use of the copyright in those drawings. The defendant is misrepresenting to the public that his drawings are the drawings of the plaintiffs or are licensed by the plaintiffs. I can see no reason why, in those circumstances, the defendants should be allowed to misrepresent his goods in that way. I therefore consider that if the case went to trial, the plaintiffs' case in passing off would succeed.

I must shortly note two further points made by Miss Victoria. First, she contends that the defendants were on the market with their licensed goods by 17 May of this year, by which time the goods licensed by the plaintiffs were barely in circulation. She says, therefore, that one has to look at the time when the defendants first started trading and there was at that stage no reputation of the plaintiffs to be protected. In my judgment, that flies in the face of the evidence. By 17 May there had been television broadcasts to huge audiences since the beginning of January, the cartoon had appeared in the Daily Mirror, the press had carried repeated articles on the subject of Ninja Turtles and, moreover, the fourth plaintiff had been selling its goods through Littlewoods since March. I have no doubt that before the defendants started trading at all the plaintiffs enjoyed a reputation which they were entitled to protect.

The second point taken by Miss Vitoria was that the plaintiffs had to prove by evidence that the public in purchasing T-shirts or other clothing carrying Turtle pictures on them would rely on the misrepresentation, namely that the picture of the Turtles was one licensed by the plaintiffs. That is to say, would the public decline to buy T-shirts if they knew that what they were buying were the defendants' counterfeits as opposed to the plaintiffs' genuine Turtles? For that purpose she relied on *Politechnika Ipari Szovetkezet v. Dallas Print Transfers Ltd [1982] F.S.R. 529*. In my judgment, that case does not support the proposition. That case was purely concerned with establishing that the plaintiff in a passing off case had to show a reputation which he enjoyed in the goods, which reputation was being interfered with. It does not, as I see it, come anywhere near requiring affirmative evidence that the public will rely on the misrepresentation in acquiring the goods. In my judgment, if the misrepresentation is made there is no requirement of law for further evidence to show that the misrepresentation was the cause of the public buying the goods in question. In general, the public expect to buy what they think they are getting, namely the genuine article. So, here, a teenage child wishing to buy a Mutant Turtle as part of the craze would wish to get a genuine Turtle, one which was indeed a Teenage Mutant Ninja Turtle. In the absence of evidence, the court must infer that if the child in the present case, or the customer in any case, were aware that the object he is buying is not genuine, he would not buy it but would seek the real object. *\*160*

I therefore hold that if this case were to go to trial the plaintiff would establish his right in law to complain of passing off, and on those grounds, since the balance of convenience is so nicely balanced, will grant the interlocutory injunction asked for in this case.

*Plaintiffs' costs in cause* \*161